



CASE MANAGER HANDOUT

UM DEMAND & UM SETTLEMENT STRATEGIES (NON-STANDARD)

This operational handout maps out your standard operating procedures for auditing active case files across complex, non-standard Uninsured Motorist (UM) and Underinsured Motorist (UIM) situations. Your precision throughout this review preserves core case valuations and structurally prepares the file for aggressive maximum insurance recovery—maximizing your operational efficiency and protecting your client's final net recovery.

1. Resident Relative Coverage: Expanding the Household

Before diving into standard documentation, you must investigate household dynamics to uncover hidden recovery policies belonging to relatives living under the same roof.

- **The "First-Class" Insured Status:** UM coverage uniquely follows the person, not just the vehicle. Anyone qualifying as a "resident relative" is considered a first-class insured. This means they are covered by the household's UM policy even if they were injured as a pedestrian, a bicyclist/scooter rider, or a passenger in an uninsured vehicle owned by a third party.
- **Fact-Finding Parameters:** When standard coverage is thin, you must investigate household dynamics using these strict parameters:
 - **The "Blood/Marriage" Tie:** Verify consanguinity (blood), marriage, or legal adoption. *Note: Roommates, boyfriends, girlfriends, and fiancés do NOT qualify, regardless of cohabitation duration.*
 - **Dual Residency Status:** Identify college students away at school, or children of divorced parents with joint custody. They can legally maintain dual residency and qualify under the household UM policy.
 - **The "Single Unit" Test:** Overcome insurance carrier pushback by gathering evidence of a single household unit: shared utility bills, official mail delivery, driver's license addresses, or shared common living spaces.



THE "OWNED BUT UNINSURED" EXCLUSION TRAP

If a resident relative owns their own vehicle but chose not to purchase insurance on it, most policies contain a strict exclusion that bars them from tapping into the household's UM coverage. Always ask the client explicitly: *"Do you own a car, and is it actively insured?"*

2. Non-Standard UM Demand Triggers

Do not wait around for a standard declaration page showing "\$0" in liability. You must trigger



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immediate UM demands when encountering these three specific scenarios:

- **The "Phantom Vehicle" / Hit-and-Run Corroboration:** When an unidentified vehicle causes an accident without physical contact (e.g., forcing our client's vehicle off the road), it is classified as a UM claim. You must secure independent eyewitness corroboration, an immediate police report detailing a phantom car, or clear video footage. Without physical contact or an independent witness, most policies legally bar the claim.
- **Tortfeasor Carrier Insolvency or Explicit Denial:** If the at-fault driver has insurance, but their insurance carrier goes bankrupt (insolvent) or issues a formal Reservation of Rights followed by an explicit liability denial (e.g., for non-cooperation or an excluded driver), the tortfeasor is legally redefined as "uninsured." Secure the written denial or insolvency letter from the carrier and attach it as an exhibit.
- **The "Immunity" Loophole:** If the at-fault driver has government or sovereign immunity (or worker's compensation exclusivity applies, preventing a direct suit against a co-worker), they may be legally shielded from a lawsuit. Because the client is "legally entitled to recover" damages but barred by a statutory shield, frame your demand around the fact that the tortfeasor's immunity legally triggers first-party UM exposure.

3. High-Risk UM Settlement Hurdles

Settling a first-party UM claim requires completely different tactical maneuvers than a third-party bodily injury settlement. Avoid these three catastrophic pitfalls:

- **The "Exhaustion & Consent to Settle" Nightmare (UIM Specific):** If you sign a general release with the at-fault driver before getting **written consent to settle** from our client's UIM carrier, you destroy their right to subrogation, thereby waiving the entire UIM claim. Send a formal *Substitution of Rights / Consent to Settle* notice to the UIM carrier before finalizing any third-party settlement.
- **First-Party Bad Faith Exposure:** Because UM is a first-party contract, the insurance company owes its own insured a strict duty of good faith and fair dealing. When submitting a UM demand, explicitly outline the medical timeline and include a strict statutory "bad faith clock" (e.g., a 30-day policy-limits deadline) to hold them accountable.
- **Tri-Panel & Binding Arbitration Transitions:** Unlike standard third-party claims that head to a courtroom, disputed UM settlements frequently divert into alternative dispute resolution (ADR).
 1. *Verify the ADR Clause:* Locate the specific UM arbitration provision to determine if it dictates a single arbitrator or a tri-panel setup.
 2. *Issue a Formal Demand for Arbitration:* If negotiations stall, file a formal, written demand for arbitration to preserve the statute of limitations.
 3. *Select the Arbitrators:* In a tri-panel setup, select our plaintiff-side arbitrator, wait for the defense to select theirs, and have those two mutually select a neutral third arbitrator.

The Golden First-Party Rule



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IMPORTANT REMINDER FOR ALL TRAINEES: During the UM demand and settlement phase, **our client's own insurance company becomes our legal adversary**. They will use the client's prior recorded statements, medical history, and comparative fault arguments against them just like a third-party carrier would. Treat them with the same strict boundaries and aggressive documentation!